

National income

It is the value of final goods and services produced in an economy during a year. It reflects the income of all the factors of production in an economy.

Real and nominal national income: Nominal national income measures the national income in terms of prices of current year and thus takes no account of inflation. It is calculated by multiplying the quantities of goods and services produced during a year by their prices in the same year.

Real national income measures the national income in terms of constant prices or the prices of some previous years in the base year that is, it is the value of physical output of current year. Real national income is calculated to find out the changes in the value of national output purely because of increase in physical quantities of goods and services.

Problems of measuring national income: Economists usually face some problems of measuring national income which may lead to some guess work in the final compilation of national income figures. Some of these problems are:

1. Calculation of the values of public goods and services: Public goods and services are provided by the government are usually financed out of taxation. They are provided by the government at zero prices so they do not pass through the market which lead s to the problems of calculating their values. The solution to this problem is that their values are taken at the cost which the government incurs in providing these goods and services.
2. Self-provided commodities: In an economy there are many goods and services which people produce for their own consumption for e.g. in many developing countries farmers produce a variety of agricultural products for their own consumption which is called subsistence farming. Since output of goods and services produced but they do not pass through the market so it becomes nearly impossible to calculate the values of all these self-provided goods and services. One solution to this problem and general consensus among countries is that most of the self-provided goods and service are neglected in the calculation of national income.
3. Unreported and illegal activities
4. Double counting: Adding the output of all the firms for the calculation of national income would be misleading because output of many firms are the input of many other firms for e.g. output of tyre manufacturers are the inputs of car manufacturers so if we add the value of cars produced and the value of tyres produced than the tyres would be counted twice and the value of national income

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would be overstated. In order to avoid this problem, values of final goods and services are added in the calculation of national income.

Gross domestic product: It is the value of final goods and services produced by domestically located factors of production; no matter where the owners are located i.e. it is the value of output produced within the boundaries of a country during a year.

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The difference between GDP and GNP is the matter of ownership. Part of income generated in the domestic economy goes abroad in the form of remittances, interest and profits or dividends. Foreign factors of production located in the domestic economy also send their incomes to their home countries which become part of their countries GNP. This is called property income paid abroad. Similar types of income flows into the domestic economy sent by the domestic factors of production located abroad. This is called property income earned abroad. To calculate GNP we subtract property income paid abroad and add property income earned abroad i.e. we add net property income from abroad into GDP to calculate GNP.

Measuring the national income: The main measure of national income now used is GDP. This is the total output of resources located within the country.

There are three ways of measuring GDP. It can be measured as the total output from the domestically owned resources during the course of one year (the output approach).

Secondly, GDP may be measured in terms of the income earned by the factors of production engaged in producing the domestic output (the income approach).

Thirdly, GDP may be looked at from the point of view of its disposal. The country's output must either be bought for use or added to stocks. If it is assumed that net additions to stock amount to expenditure by the firm on its own output, national income can be measured by the amount spent on the country's output (the expenditure approach).

National output = national income = national expenditure

Standard of living

Movements in the national income are used to indicate changes in the standard of living. It is important to use real GDP figures to assess the changes in living

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standards. Changes in population should also be considered because it is income per head which is relevant when living standards are being discussed for e.g. a 5% increase in real GDP which is accompanied by an 8% increase in population probably means that average living standard has fallen.

It is also necessary to take note of the composition of total output. A large increase in total output which is due to an increased output of capital goods or defense good will not mean an immediate increase in economic welfare.

Indeed GDP figures are a measure of material standard of living rather than the quality of life. They measure the quantity of goods and services produced by the quality of life is affected by many factors. If increase in quantity of goods and services leads to a decrease in quality then it would not lead to an increase in standard of living. Higher GDP figures may also present a misleading situation. Externalities, both positive and negative are not taken into account in the calculation of GDP. Pollution, noise, congestion and mental strain are possible by products of increasing GDP.

Output may increase but if distribution of income is very uneven, only a few may experience a rise in their material living standards. It is also possible that the official GDP figures may understate the quantity of goods and services people enjoy. This is because some goods and services produced and sold are not recorded. This is because the sale is illegal or in order to avoid paying tax. A number of non-marketed services such as DIY (do it yourself) are not taken into consideration although they affect the quantity of life.

International comparisons: GDP per head is the most frequent indicator used to compare living standards in different countries. Some reasons for using GDP are that levels of measurement may differ very widely for e.g. in a country where mostly subsistence farming is practiced, a large amount of guesswork would be involved in the final compilation. There are great discrepancies in the patterns of income distribution in different countries. Two countries may have same real GDP per head figures but the standard of living in both countries would be very different if the income in one country is evenly distributed, while in the other income distribution is unequal. The composition of total output may also be different.

Externalities, the size of black economy, working hours, working condition etc. are also likely to differ between countries. Some differences arise from the climate and geography of an area for e.g. inhabitants of cold countries will spend a large proportion

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of their income on keeping themselves warm, while people in a sparsely populated area will spend more on communication transport.

International comparisons also have to be undertaken in a common unit. The rate of exchange may not be a great indicator of the relative domestic purchasing power of the two currencies. The official exchange rate only takes account of the products entering into international trade.

Since 1993, the use of purchasing power parity (PPP) is increasing. This measures the cost of a typical basket of goods and services in different countries both internationally traded and non-internationally traded for e.g. a typical basket of goods cost £7000 in UK whereas its costs \$21000. The ratio is 1:3 and the effective exchange rate to be used to convert the national income figures would be £1=\$3.

Development economies

Some common characteristics of least developed countries: Every country has its special problems and rates of progress vary widely but there are some features which are common to the majority of the least developed countries which are:

1. High birth rates, relatively high death rates and a low expectancy of life: These countries have a high rate of population growth and high dependency rate.
2. Concentration on agriculture: In some countries more than 70% of the labor force is engaged in agriculture, even then the degree of specialization productivity is low which is due to e.g. the lack of capital equipment and hidden unemployment.
3. A poor natural resource endowment: Many of the LDC's are in tropical and sub-tropical regions where soils are fragile and climatic conditions unfavorable for many agriculture activities.
4. Social, religious and cultural patterns: Where people are strongly attached to customary ways of doing things, it is extremely difficult to improve mobility of labor and introduce new techniques.
5. Low level of investment in human capital: Workers are lacking in education and technical skills and the relatively low standards of health often mean a low level of physical performance.
6. A heavy dependence on a narrow range of export products (usually primary products)
7. An inadequate industrial and social structure: Rapid economic development needs a basis in the form of e.g. good communications, adequate power and water supplies, an educated and trained labor force.

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Conditions for development: To achieve growth in income per head and advancement in economic welfare the quality and quantity of factors of production will have to be improved.

1. Human resources: The quality of human resources can be increased by improvements in education, training and health.
2. Capital resources: Output per head will increase with the increase in capital and improved technology.
3. Natural resources: Fertile land, a favorable climate and a good supply of minerals and fuels are obviously beneficial.
4. Allocation of resources: To increase income per head resources should be moved from low productivity industries to high productivity industries.
5. Innovation: Economic development will be stimulated by the adoption of new methods, improved technology, better communications and advanced management technique.

Development strategies:

1. Increasing primary production: If developing countries try to develop their primary industries productivity, they face the problem that most of these products have very inelastic demand. An increase in world supplies will reduce the incomes of the poorer countries. Prices of primary products also tend to fluctuate. There is a risk that demand may decrease dramatically if substitutes are developed.
2. Industrializing through import substitution: The aim over here is to promote the infant industry and establish a comparative advantage behind a protective wall of import controls. Domestic goods will replace imports. There is a risk that domestic industries would come to rely on protection and would not improve efficiency.
3. Promoting export led growth: As an economy develops, its exports are likely to change from primary products to labor intensive manufactured goods. Competing in international markets lead to an increase in income and efficiency. This approach relies on the firms being able to compete against foreign firms which have already achieved economies of scale.
4. Tourism: It has a high income elasticity of demand and is fastest growing industry in the world. However it tends to result in low income jobs and runs the risk of dampening the natural environment.
5. Borrowing from abroad: Funds borrowed from foreign countries can be used to invest in physical and human capital thereby raising productivity. However this has

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cost great damage to the countries when they are unable to payback and has resulted in the collapse of banks.

6. Relying on foreign aid: Assistance from other countries can enable developing countries to improve their infrastructure, capital stock and their education training and health system. However this has not always been beneficial for e.g. providing capital for high technology equipment's to a very poor and over populated agricultural country may not be very useful as it will need educated and trained labor which is not present.